

Central Banks

What are the objectives of the Fed & European Central banks?
What are their current policy stances?

Agenda

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Initial Question

1. Central Bank Overview
2. Comparison of Fed & ECB
3. Current Monetary Policy Stances
4. Policy Divergence

Further

5. Investor's Flight to Safety
6. Case Study Peru



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Central Banks: Core Objectives

Central Banks have 5 objectives, achieved by different tools

What They Really Do?	How?
1 Control Prices keep inflation low and stable	▷ Set and adjust interest rates ▷ Buy or sell government bonds
2 Protect the Financial System avoid crises and bank runs	▷ Regulate banks and limit risk-taking ▷ Run stress tests and enforce capital buffers
3 Manage Money & Currency ensure trust in the value of money	▷ Intervene in foreign exchange markets ▷ Guide expectations through communication
4 Keep Money Moving make payments work smoothly every day	▷ Set reserve requirements for commercial banks ▷ Provide liquidity through quantitative easing or tightening
5 Act in Crises step in as lender of last resort	▷ Operate payment infrastructures (Fedwire, TARGET2) ▷ Lend emergency funds to banks as lender of last resort

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> *The truly unique power of a central bank, after all, is the power to create money, and ultimately the* ***power to create is the power to destroy***



Paul A. Volcker
Economist and former Chair of the Federal Reserve of the United States

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FED vs ECB

Comparison of their different mechanisms for similar goals

Topic	Federal Reserve System	European Central Bank
Overview	- Local & regional perspective - Annual rotation for voting	- Balance sovereign perspective - Monthly rotation for voting
Macro Objectives	- Dual Mandate Price Stability + Employment	- Single Mandate 2% Inflation Target
Main Rates	- Fed fund rate - Overnight lending rate	- Main refinancing rate - Weekly lending rate
Tools	- Open Market Operations - QE / QT - Forward guidance - Emergency lending	- Bank focused - QE - Forward guidance - TLTROs (multi-year loans) - Negative interest rate
Crisis	- Fed can buy gov. debt: allowing rapid response	- Forbidden by Treaty of Maastricht

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4 Key Takeaways

1. Mandate Scope

FED = Dual (Growth + Inflation) → more flexibility
ECB = Single (Inflation only) → stricter framework

2. Crisis Response Speed

FED acts faster via Treasury coordination
ECB relies on consensus + targeted programs

3. Governance

FED = central authority
ECB = distributed decision power (national banks)

4. Outcome

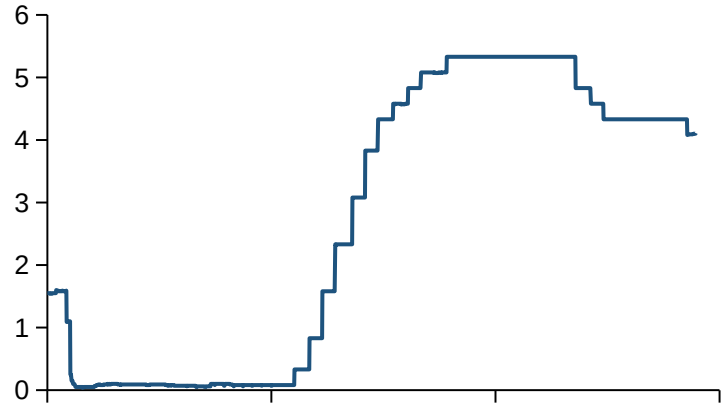
Both aim for stability & trust, but differ in execution style

Current Monetary Policy Stances

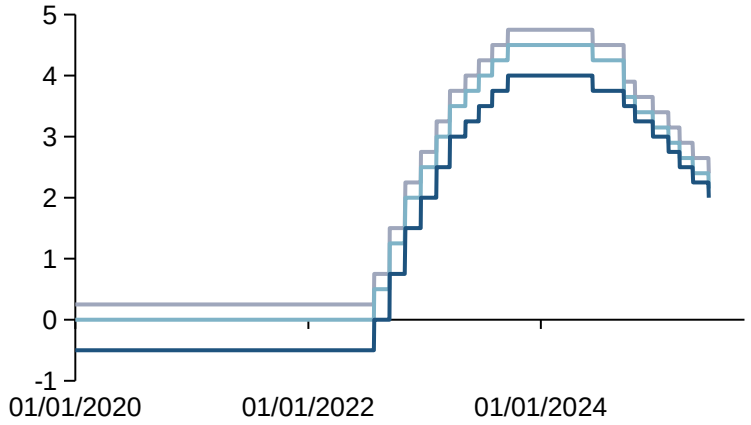
Current Monetary Policy Stances - Fed vs ECB (Oct 2025)

Aspect	Federal Reserve (FOMC, Oct 29)	European Central Bank (Oct 30)
Policy Rate	3.75 - 4.00% (25 bp cut)	2.00% / 2.15% / 2.40% (unchanged)
Direction	Cautious easing	On hold / wait-and-see
Inflation	~2.8% (PCE)	~2.1% (Eurostat)
Labour Market / Growth	Cooling unemp. 4.3%, GDP +1.6% H1	Resilient GDP +0.2% Q3, unemp. 6.3%
Balance Sheet	QT ends Dec pause / reinvest MBS into T-bills	APP & PEPP run-off continues
Tone & Outlook	Downside risks to jobs	In a good place
Next Move (Expected)	Possible small cuts ahead if jobs weaken further	No cuts expected before mid-2026

U.S. Federal Funds Rate (2020-25), change in %



ECB Policy Rates (2020-25), change in %



Sources: Federal Reserve (FOMC Statement & Implementation Note, Oct 2025); ECB Monetary Policy Statement, Oct 2025; FRED; FT coverage

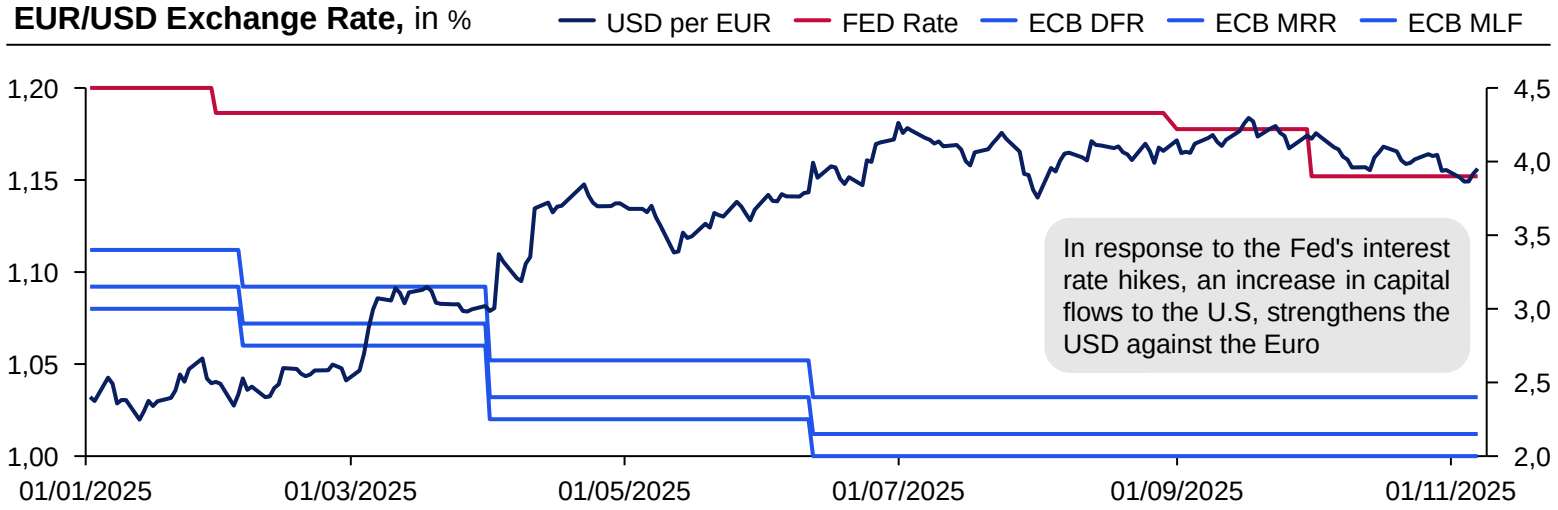
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Policy Divergence

How the Fed and ECB react to each other

	Short-term Horizon	Long-term
Policy Rate	Fed raises rates faster, to 5.25%-5.5% ECB peaks around 4%	Over time, both central banks' stances align as inflation cools and growth slows.
Capital Flows	Higher U.S. yields attract investors →USD strengthens, euro weakens	Global investors adjust their portfolios as U.S growth moderates and eurozone catches up.
Inflation Effect	Weaker euro raises import prices → Temporary inflation pressure in the eurozone	Exchange rates and inflation normalize as policies align.
Growth Impact	Stronger dollar slightly dampens U.S exports → Eurozone faces slow recovery	Both economies settle into lower inflation and moderate growth paths

EUR/USD Exchange Rate, in %



Sources: European Central Bank; Eurosystem

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Key insights

As the Fed leads and the ECB follows, currencies shift — until growth and inflation bring both back in sync

Interest rate differentials between the Fed and ECB are a key driver of EUR/USD movements, reflecting shifting growth and inflation expectations

Investors Flight to Safety

Bond Market Signals Loss of Confidence in Fed's Long-Term Policy Path

Fed‘s Impossible Position

Dual Mandate conflict	Employment declining Inflation remains above 2% target
Fiscal constraint	$3.4T spending bill $29.7T debt outstanding
Credibility crisis	Moody‘s dowgrade to AA+ reflects erosion of policy credibility

Policy dilemma:
Fed ended QT and cut rates twice, but can‘t control long end of curve without market cooperation

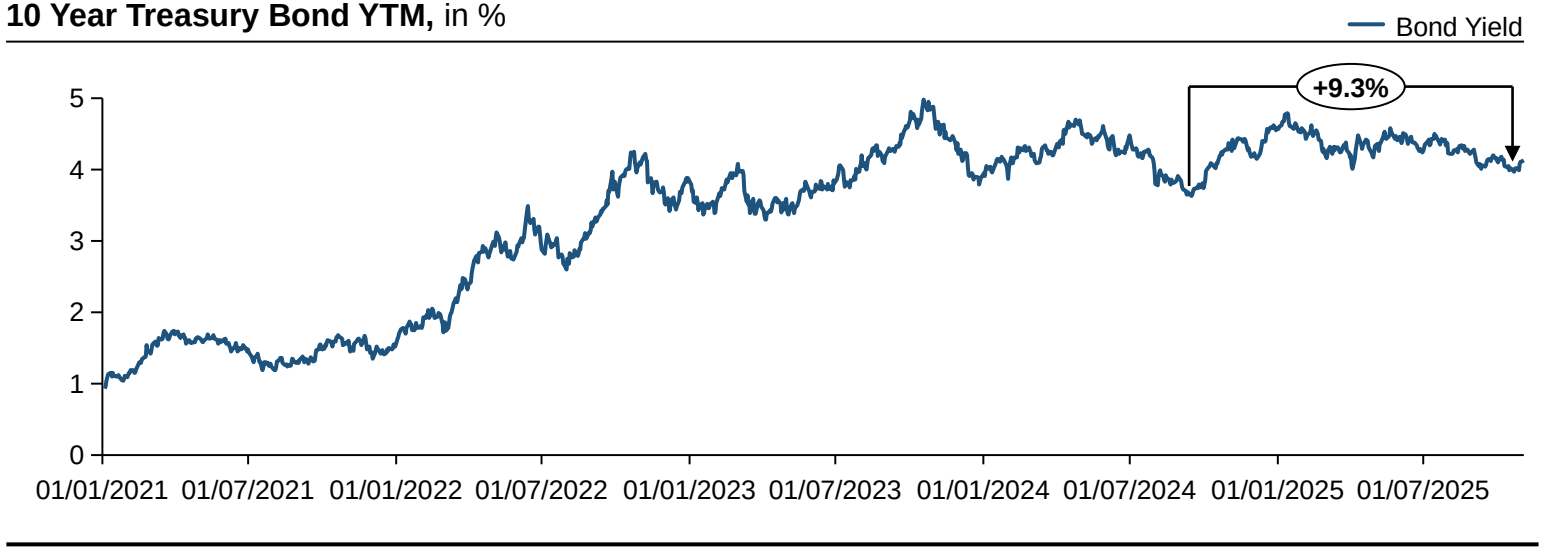
Market‘s verdict

LONG TERM BOND PERFORMANCE
NEGATIVE
Since September 2025

- Pension funds increased short-term bonds from 29% to 32% from 2021 to 2024
- Highest 30-year yields since 2007 at 5%

September 2025:
20 of 21 days showed flow to bonds, but 80% went to maturities under 3 years.

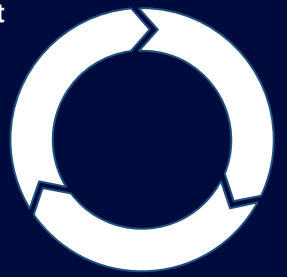
10 Year Treasury Bond YTM, in %



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What this means for the Fed

Less Market Trust — **More Volatility**



Harder to execute Policy

KEY TAKEAWAY

The bond markets is pricing in Fed policy failure risk **beyond 3-7 years.**

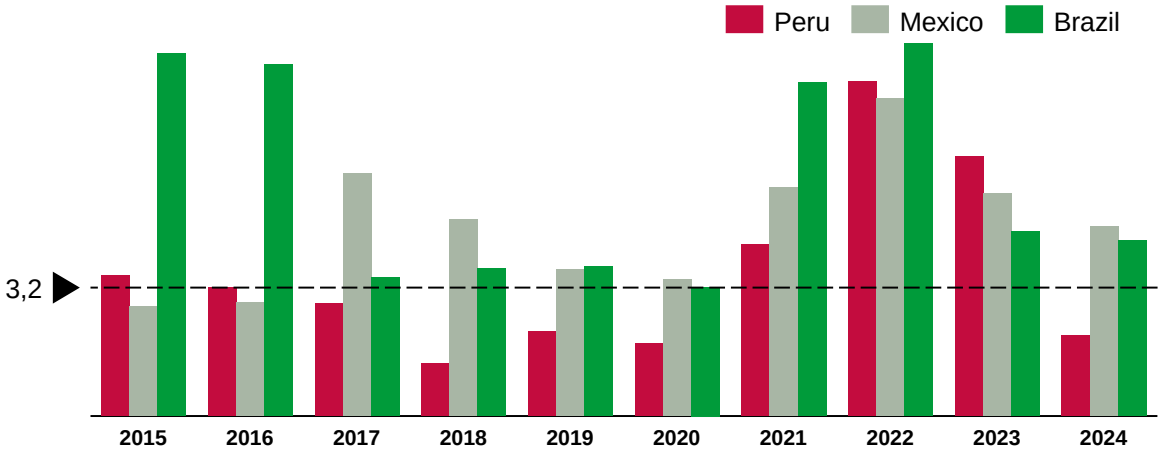
This isn’t about volatility protections its about fundamental **loss of confidence** in the Fed’s ability to maintain credible long-term policy

Case Study: Economic stability through political instability

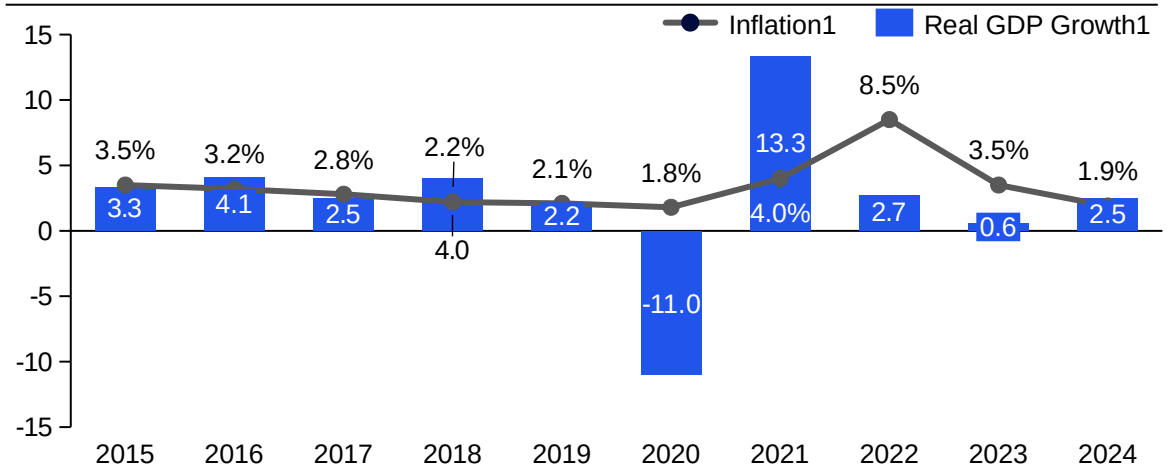
Peruvian Central Bank

- 8 presidents in 10 yrs, independent Central Bank maintained 3.2% inflation rate
- Political power rotates, but economic institutions do not change
- Technical teams stay across presidencies; bank's independence protected by law
- 19 years of providing continuity, credibility, and shielding monetary policy from political cycles

Inflation Stability in Peru vs. Others (2015–24), in %



Inflation Stability in Peru (2015–25), in %



Independent from government	✓	✓	✓
Clear inflation target	3%	2%	2%
Technical continuity	Governor in office for ~20 years	Leadership changes infrequently	Continuity in Governing Council

1. World Bank, IMF WEO 2024, Banco Central de Reserva del Perú, Reuters

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Thank you for your attention!

As the Fed and ECB continue to diverge in their policy timing, do you think central banks are becoming more political actors rather than purely economic ones?

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